



Ask Your Neighbor

Assume women's entry into the labor force from 1950-1994 reflected changes in preferences. Using the Chapter 5 Social Planner's model, this would most likely cause

- A. Employment and real wages to increase
- ☒ B. Employment to increase but real wages to decrease
- C. Employment to decrease but real wages to increase
- D. Employment and real wages to decrease

$N \uparrow$ $MPN \downarrow$
(no ΔZ)



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Assume there is a decrease in Government spending. Using the Chapter 5 Social Planner's model, this would most likely cause

 $\therefore$ lump sum tax (pure income effect)

- A. GDP and real wages to increase
- B. GDP to increase but real wages to decrease
- C. GDP to decrease but real wages to increase
- D. GDP and real wages to decrease

$T \downarrow$

positive
income effect
 $L \uparrow N \downarrow$

 $Y \downarrow$
 $MPN \uparrow$



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Assume there is an increase in Government spending on education that leads to an increase in Total Factor Productivity. Using the Chapter 5 Social Planner's model, this would most likely cause

- A. GDP and Utility to both be higher than if G were "unproductive"
- B. C and GDP to both be higher than if G were "unproductive"
- C. Real wages and the MRS to both be higher than if G were "unproductive"

D. All of these things

$MRS = MPN$
↑ ↑
Steeper Part
of IC